IN THE NATIONAL COMPANY LAW TRIBUNAL
NEW DELHI
BENCH-VI

Company Petition CAA-97/(PB)/2021

(Under Section 230, 232 of the Companies Act, 2013)

In the Matter of:

1. M/s. Rehva Industries India Limited

Registered Office at: Flat No. 1010, Ground Floor, Pocket-B, DDA MIG Flats, New Delhi-110093

...Transferor Company-1/Applicant Company-1

AND

2. M/s. SSL Energy Limited

Registered office at: Flat No. 1010, Ground Floor, Pocket-B, DDA MIG Flats, New Delhi-110093

...Transferor Company-2/Applicant Company-2

AND

3. M/s. Steel Technologies India Limited

Registered office at: Flat No. 1010, Ground Floor, Pocket-B, DDA MIG Flats, New Delhi-110093

...Transferor Company-3/Applicant Company-3

WITH

4. M/s. Param Trust Private Limited

Registered office at: Flat No. 1010, Ground Floor, Pocket-B, DDA MIG Flats, New Delhi-110093

...Transferee Company/Applicant Company-4

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Coram:
SH. P.S.N. PRASAD, Hon'ble Member (Judicial)
SH. RAHUL BHATNAGAR, Hon'ble Member (Technical)

Counsel for Applicant: Rekha Mittal, CS

ORDER
PER RAHUL BHATNAGAR, MEMBER (TECHNICAL)

Date: 06.10.2022

1. This joint application has been filed by the Applicant Companies under Sections 230 to 232 of the Companies Act, 2013, read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, and the National Company Law Tribunal Rules, 2016, for the purpose of the approval of the Scheme of Amalgamation of the Transferor Companies into the Transferee Company. The copy of the Scheme of Amalgamation (hereinafter referred as the "Scheme"), has been placed on record.

2. The Transferor Company No.1, M/s. Rehva Industries India Limited was incorporated under the provisions of the erstwhile Companies Act, 1956 on 30.09.2005, having its

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registered office situated at Flat No. 1010, Ground Floor, Pocket-B, DDA MIG Flats, New Delhi-110093.

3. The Transferor Company No.2, M/s. SSL Energy Limited was incorporated under the provisions of the erstwhile Companies Act, 1956 on 30.07.1997, having its registered office situated at Flat No. 1010, Ground Floor, Pocket-B, DDA MIG Flats, New Delhi-110093.

4. The Transferor Company No. 3, M/s. Steel Technologies India Limited, was incorporated under the provisions of the erstwhile Companies Act, 1956 on 09.07.2008, having its registered office situated at Flat No. 1010, Ground Floor, Pocket-B, DDA MIG Flats, New Delhi-110093.

5. The Transferee Company, M/s. Param Trust Private Limited was incorporated under the provisions of the erstwhile Companies Act, 1956 on 26.02.2008, having its registered office situated at Flat No. 1010, Ground Floor, Pocket-B, DDA MIG Flats, New Delhi-110093.

6. A perusal of the petition discloses that initially the First Motion application was filed before this Bench, vide

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Company Application CA(CAA) 01/(PB)/2020 and based on such joint application, moved under Sections 230-232 of the Companies Act, 2013, the Tribunal vide its order dated 26.08.2021 dispensed with the requirement of convening meetings of Equity Shareholders, Secured Creditors and Unsecured Creditors of the Transferor Companies and Transferee Company.

7. The Applicant Companies were directed to carry out publication in the newspapers. It is seen from the records that the petitioners have filed an Affidavit affirming compliance and disclosing that the applicants have effected publication in 'Financial Express' English edition as well as in 'Jansatta' Hindi edition, both dated 11.10.2021. In addition to the public notice, notices were served on to the Regional Director (Northern Region), Registrar of Companies, NCT of Delhi and Haryana, Official Liquidator, the Income Tax Department and to the other relevant sectoral regulators.

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8. Pursuant to the notice issued to the Regional Director, RoC, and Official Liquidator, they have filed their response/reply in the matter.

9. The Regional Director has filed an affidavit dated 18.05.2022 stating as follows "the reply received from the Petitioner Companies appears to be satisfactory and the matter may kindly be decided on its merits."

10. The Official Liquidator has filed its report dated 07.02.2022, wherein the following observations were made:

"That the Official Liquidator, on the basis of information submitted by the Petitioner Companies, is of the view that the petitioner companies are closely held group companies with common shareholding, management and control and the proposed merger of the transferor companies with the transferee company would result in business synergy, consolidation and pooling of their resources and ultimately would enhance the shareholders' value of the transferor and transferee companies. The petitioner companies have preferred not to submit the material basis for the office of official

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liquidator to firm up any view viz. minutes of the petitioner companies, proper disclosure of the financial or mandatorily required disclosures in the notes to accounts. However, the Official Liquidator has not received any complaint with regard to the proposed Scheme of amalgamation and swap ratio mentioned therein from any shareholder/creditor and other stakeholder in any manner till the date of filing of this report."

11. Vide order dated 07.04.2022, the Applicant Companies were directed to show the records to the Official Liquidator as required by him. Vide letter dated 16.05.2022 to the Official Liquidator, the Petitioner Companies have stated that they have shown all the records of the Petitioner Companies to the Official Liquidator and Deputy Official Liquidator at the office of the Official Liquidator on 11.05.2022.

12. The Income Tax Department has submitted its reports with respect to the Applicant Companies. The Income Tax Department vide its reports dated 16.11.2021 and

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11.01.2022 as well as e-mail dated 10.11.2021, has stated that there is no pending inquiry/proceedings against any of the Transferor Companies. However, vide its report dated 17.02.2022 w.r.t the Transferee Company, the Income Tax Department has submitted as follows:

> "Hence, it is requested that the amalgamation scheme should only be approved on the condition that Income Tax Department will be at liberty to initiate/complete appropriate proceedings and recover tax dues in accordance with law from the transferee company with respect to the transferor companies as well as from the transferee company and the amalgamation of the transferor companies with the transferee company M/s Param Trust Pvt Ltd should not affect the tax liability of the transferor and transferee company."

13. The Transferee Company, however, has filed an affidavit-cum-undertaking dated 12.11.2021 whereby it has undertaken that the Transferee Company will meet the tax liability if any demanded from the Transferor Companies as per laws.

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14. In this petition it has also been affirmed that no proceeding for inspection, inquiry or investigation under the provisions of the Companies Act, 2013 or under provisions of Companies Act, 1956 is pending against the Petitioner Companies.

15. Certificates of respective Statutory auditors of all the petitioner companies, have been placed on record to the effect that Accounting Treatment proposed in the Scheme of Amalgamation is in conformity with the Accounting Standard notified by the Central Government as specified under the provisions of Section 133 of the Companies Act, 2013.

16. The shareholders of the applicant companies are the best judges of their interest, fully conversant with market trends, and therefore, their decision should not be interfered with by Tribunal for the reason that it is not a part of judicial function to examine entrepreneurial activities and their commercial decisions. It is well settled that the Tribunal evaluating the Scheme, of which sanction is sought under Section 230-232 of the Companies Act of 2013, will not

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ordinarily interfere with the corporate decisions of companies approved by shareholders and creditors.

i. It has also been affirmed in the petition that the Scheme is in the interest of all the transferor companies and the transferee company, including their shareholders, creditors, employees and all concerned.

ii. In view of the foregoing, upon considering the approval accorded by the members and creditors of the Petitioner companies to the proposed Scheme, and the affidavits filed by the Regional Director, Northern Region, Ministry of Corporate Affairs and the report of official liquidator, there appears to be no impediment in sanctioning the present Scheme.

A. Consequently, sanction is hereby granted to the Scheme under Section 230 to 232 of the Companies Act, 2013.

B. The Petitioners shall however remain bound to comply with the statutory requirements in accordance with law.

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C. Notwithstanding the above, if there is any deficiency found or, violation committed, qua any enactment, statutory rule or regulation, the sanction granted by this court to the scheme will not come in the way of action being taken, albeit in accordance with law, against the concerned persons, directors and officials of the petitioners.

D. While approving the Scheme as above, we further clarify that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges, if any, and payment in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

E. THIS TRIBUNAL DO FURTHER ORDER:

1. *That the Transferor Companies shall stand dissolved without following the process of winding-up; and*

2. *That all the property, rights and powers of all the Transferor Companies, be transferred without further act or deed, to the Transferee Company and*

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accordingly the same shall, pursuant to Section 232 of the Companies Act, 2013, be transferred to and vest in the Transferee Company.

3. *That all the liabilities and duties of all the Transferor Companies, be transferred without further act or deed, to the Transferee Company and accordingly the same shall, pursuant to Section 232 of the Act, be transferred to and become the liabilities and duties of the Transferee Company; and*

4. *That all proceedings now pending by or against the Transferor Companies, be continued by or against the Transferee Company; and*

5. *That all the employees of the Transferor Companies in service, on the date immediately preceding the date on which the scheme takes effect, i.e. the effective date, shall become the employees of the Transferee Company on such date, without any break or interruption in service and upon terms and condition not less favorable than those subsisting*

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in the concerned Transferor Companies on the said date.

6. *That Petitioner companies shall, within thirty days of the date of the receipt of this order, cause a certified copy of this order to be delivered to the Registrar of Companies for registration and on such certified copy being so delivered, all the Transferor Companies shall be dissolved and the Registrar of Companies shall place all documents relating to all the Transferor Companies registered with him on the file, kept by him in relation to the Transferee Company and the files relating to all the petitioner companies shall be consolidated accordingly; and*

7. *That any person interested shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary.*

The petition stands disposed of on the above terms.

Let copy of the order be served to the parties.

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(RAHUL BHATNAGAR)
MEMBER (TECHNICAL)

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(P.S.N. PRASAD)
MEMBER (JUDICIAL)